

Short notes on Unit 2

What is a business plan?

A business plan is a plan of how the business will develop over a future period time outlining the strategy of the business and clarifies what is needed to achieve its goals.

A written document setting out the purpose and goals of the business; describing its products/services and target markets, stating how the business plans to achieve its financial, marketing and operational goals.

Contents of a business plan

- An executive summary
- Elevator pitch (business idea)
- The business and its objectives
- The business opportunity
- Owners' background
- The market
- Personnel
- Premises and equipment
- Costing and finance
- Financial forecasts
- SWOT analysis

Assess the importance of having a business plan

- Support application to bank for funding
- Gives a sense of direction and an action plan hence, clear objectives meant that the owner knows what he needed to do to make and measure the company's success.
- Worker motivation knowing that there is a plan to follow

Evaluation

- Making a plan doesn't make it happen, entrepreneurs sometimes confuse the plan with reality
- If plan is too rigid problems may arise, It needs to be flexible
- Business success is often about people and the implementation
- It is difficult to consider unforeseen changes in the environment eg, a pandemic

Sources of Finance

Sources of finance relates to the ways in which businesses acquire finances. There are mainly two methods

- Internal source of finance
- External source of finance

Internal sources of finance

There are mainly 3 types of internal sources

- Owner's capital (personal saving)
- Retained profit
- Sale of Asset

External sources of finance

Under external finance it is divided into sources and methods

Sources of finance: there are various external sources (ways) you can raise finance. It includes:

- family and friends
- banks
- peer-to-peer funding
- business angels
- crowd funding
- other businesses

Methods of finance: different types of methods of financing which includes:

- loans
- share capital
- venture capital
- overdrafts
- leasing
- trade credit
- grants

Advantages of different sources and methods of external financing

FAMILY AND FRIENDS: A common source of finance, particularly for small businesses, is family members or close friends.

ADVANTAGES:

- Less risks – do not have to offer an asset as security
- No or low interest
- Flexible – may allow to extend the payback period
- Sometimes given as a gift hence no need to return

DISADVANTAGES:

- Limited finance
- Can create problems if payback isn't possible (dispute among family members/ loss of friendship)

BANKS: Commercial banks such as BML, SBI provides range of different external funding arrangements for businesses. These include:

- Loans
- Overdrafts
- Mortgages

PEER TO PEER FUNDING: involves people lending money to unrelated individuals or 'peers' and therefore avoiding the use of a bank. Transactions are undertaken online and are organized by specialists such as Lendbox in India.

ADVANTAGES:

- Unsecured loan – less risk for the borrower in case they cannot pay back the amount.
- No use of bank – less administration cost
- Low interest rate

DISADVANTAGES:

- Unsecured loan – so maybe reluctant to lend as both the borrower and lender don't know each other
- No legal protection for the lender
- Have to payback with interest

BUSINESS ANGELS: business angels are individual who typically may invest in businesses in exchange for a stake in a business. Most investments are in business start-ups or in early stages of expansion

ADVANTAGES:

- Cheap – no repayment/no interest
- Advice/guidance
- Additional finance in the future – e.g. For expansion

DISADVANTAGES:

- Have to share profit
- Loss of control, business angles may be demanding individuals with considerable pressures on their time.
- Profit motive - so they may encourage unethical behavior

CROWDFUNDING: is similar to peer-to-peer funding in that banks are excluded and individuals can lend money to others without previous knowledge of them. The lenders will be large number of individuals who collectively represent the 'crowd'. Transactions are done online. There are specialist websites for crowdfunding such as "GoFundME".

ADVANTAGES:

- Can raise money quickly
- Don't have to payback + no interest
- Don't have to risk any personal or business assets

DISADVANTAGES:

- If the targeted amount is not achieved the money will be taken back by the lenders
- Administration cost – has to make a very convincing proposal
- Some websites take fees or a percentage of the contribution by lenders

OTHER BUSINESSES: another external source of finance might be provided by other businesses. For example, a business might set up a fully funded subsidiary. Some businesses may set up as joint ventures, where business share the finance, costs as well as profits for a specific venture or project. Some PLCs buy shares of other companies.

ADVANTAGES:

- Can raise the finance needed
- Can get expertise in running the business especially in joint ventures
- The other business might be more familiar with the market especially if entering a new market

DISADVANTAGES:

- May lose control over the business, in case where PLC buys shares, they may have a thought of taking over in the future
- In case of Joint venture, once the venture is done the other business will be gone
- Sometimes convincing the other company to invest might be difficult

METHODS OF FINANCE:

LOANS: a loan is an arrangement where the amount borrowed must be returned over a fixed period of time in regular equal payments. Loans tend to be inflexible and interest will be added to the total. There are different sorts of loans

- **Bank loans:** are the most common type of loan, they are usually unsecured loans. This means that the lender has no protection if the borrower fails to repay the money owed. That is the reason why the interest is high for unsecured loans
- **Mortgages:** these are secured loans, where the borrower has to provide some assets as collateral to support the loan. Interests will be low for secured loans, these are long-term loans.
- **Debentures:** are specialized method of loan finance, the holder of a debenture is a creditor of a company, not an owner. Debenture holders must be paid a fixed rate of interest. And the loan amount will be paid on an agreed set date. This method is usually used by Public Limited Companies

ADVANTAGES OF LOAN:

- Easier to manage cash flow – don't have to pay back the whole amount at the same time
- Flexibility in using the money – can use for anything
- No dilution of ownership
- Has the option of getting an unsecured loan – no risk in losing an asset

DISADVANTAGES OF LOAN:

- Time consuming process to obtain finance
- Have to pay back + interest (even higher if it is unsecured)
- Administration cost
- Have to risk an asset if it is a secured loan

SHARE CAPITAL: for a limited company share capital is likely to be the most important source of finance. The sale of shares can raise very large amounts of money. (please read the text-book page 180 for different types of share)

When a limited company issue shares to the public it's called as "stock floatation"

ADVANTAGES:

- No requirements attached so can use the money for anything
- Can raise a huge amount
- Don't have to payback + no interest

DISADVANTAGES:

- Loss of control
- Have to pay dividend – cannot enjoy all the profit
- Costly – Initial Public Offering (IPO)

VENTURE CAPITAL: venture capitalists are specialists in the provision of funds for small and medium sized businesses. Typically they invest in businesses after the initial start-ups and often prefer technology companies with high growth potential. They take a stake of the company; therefore they have some control of the business.

ADVANTAGES:

- Guidance/advice
- Usually for risky businesses venture capital might be the only source
- No need to repay the amount
- Additional resources

DISADVANTAGES:

- Loss of control as they will interfere with the running of the business
- Administration costs – venture capitalists look for the potential, so proposal has to be very convincing
- Have to share profit
- Profit motive - so they may encourage unethical behavior and change the current business objectives

OVERDRAFTS: A bank overdraft means that a business can spend more money than it has in its account. In other words, they go 'overdrawn'. The bank and business will have to agree on an overdraft amount beforehand.

ADVANTAGES:

- Can borrow anytime – quick and flexible
- Can cover short term cash flow shortage
- Interest paid only on the amount borrowed

DISADVANTAGES:

- Bank can ask for repayment any time
- Costly - Rate of interest can be very high / fees (annual or application) can be high

- Cannot be used for borrowing a large amount

LEASING: a lease is a contract through which a business acquires the use of resources, such as property, machinery or equipment, in return for regular payments. In this type the ownership never passes to the business that is using the resource.

ADVANTAGES:

- Saves money on cash tied up on assets – no large sums of money are needed to buy the use of equipment
- Easier to manage cash flow
- Maintenance and repair cost are not the responsibility of the user
- Easier for a new company to obtain equipment than getting a loan

DISADVANTAGES:

- Cannot make adjustments to the equipment (technology changes)
- The cost may actually be higher considering the time period they have leased it for (purchasing it might have been less costly over the long run)
- Cannot gain the ownership of the asset

TRADE CREDIT: trade credit refers to buying the goods and paying later. It is common for businesses to buy raw materials, components and fuel, and pay for them at a later date, usually within 30-90 days.

Paying for goods and services using trade credit seems to be an interest free way of raising finance.

ADVANTAGES:

- If paid faster than the period allowed the buyer can get a discount
- Interest free if paid within the 30-90 days payment period
- Easy and quick source of finance

DISADVANTAGES:

- Delaying payment can result in poor relationship with suppliers – may not even offer trade credit for further purchases
- May charge a really high price for delayed payments
- Not an available source of finance for company expansion or purchase of assets

GRANTS: some businesses might qualify for financial support in the form of a grant. A list of grants available can be accessed using the government's 'business finance support finder' tool.

ADVANTAGES:

- Free money – does not have to be repaid
- Ideal for small business as it is easier than obtaining a loan – especially if they are working for a special cause.
- No need to risk any assets

DISADVANTAGES:

- Competition for grants is high – there is a huge chance of not getting it.
- Have to stick to the plan – cannot use the money for anything else.
- Time consuming / high administration costs – to prepare a convincing proposal.

FORMS OF BUSINESS

There are several forms of businesses

- Sole traders
- Partnerships
- Limited partnerships (main difference is partners have limited liability)
- Limited companies
- Franchising
- Social enterprises
- Lifestyle businesses
- Online businesses

Advantages and Disadvantages of SOLE TRADER

Advantages	Disadvantages
The owner keeps all the profit.	The owner has unlimited liability.
The business is independent and the owner has complete control.	The owner may struggle to raise finance, as lenders may consider them too risky to offer credit.
The business is simple to set up, with no legal requirements.	Independence may be a burden, for example if an owner is ill.
The business can be flexible and can adapt to change quickly.	The owner and any employees are likely to work very hard, with long hours.
The business can offer a personal service because it is small.	The business is usually too small to exploit economies of scale.
The business may qualify for government help.	The business cannot be continued if the owner passes away.

▲ Table 1 Advantages and disadvantages of sole traders

Advantages and Disadvantages of PARTNERSHIP

Advantages	Disadvantages
The partnership is easy to set up and run, with no legal requirements.	Partners have unlimited liability.
Partners can specialise in their area of expertise.	Partners have to share the profit.
Partners share the burden of running the business.	Partners may disagree and fall out with one another.
More owners can raise more capital.	One partner's decision creates legal obligations for all partners.
The partnership does not have to publish financial information.	Partnerships have limited growth potential.

▲ Table 2 Advantages and disadvantages of partnerships

Advantages and Disadvantages of PRIVATE LIMITED COMPANY

Advantages	Disadvantages
Shareholders have limited liability.	Private limited companies have to publish their financial information.
More capital can be raised by issuing shares.	Setting-up costs have to be met.
Control over the business cannot be lost to outsiders.	Profits are shared between more members.
The owners have tax advantages. Owners may pay less tax, for example.	It takes time to transfer shares to new owners.
Private limited companies are considered to have a higher status than some other types of business organisations, such as a sole trader.	Private limited companies cannot raise large amounts of money like public limited companies.

▲ Table 3 Advantages and disadvantages of private limited companies

Advantages and Disadvantages of FRANCHISING

Advantages to the franchisor	Disadvantages to the franchisor
Franchising is a fast method of growth.	Potential profit is shared with franchisees.
Franchising is a cheaper method of growth because growth is mainly funded by the franchisee.	Poor franchisees may damage the brand's reputation.
Franchisees take some of the risk on behalf of the franchisor.	Franchisees may get their supplies from elsewhere.
Franchisees are more motivated than employees.	The cost of supporting franchisees may be high.

▲ Table 5 Advantages and disadvantages to franchisors of franchising

Advantages to the franchisee	Disadvantages to the franchisee
Franchises are lower risk, as they use an idea that has already been tried and tested.	A franchisee's profit is shared with the franchisor.
Franchisees get support from the franchisor.	Franchisees have to sign contracts with franchisors, which can reduce independence.
The set-up costs of a franchise are predictable.	Setting up a franchise can be an expensive way to start a business.
Franchisees can benefit from national marketing campaigns organised by the franchisor.	Franchisees lack independence and must follow strict operating rules.

▲ Table 4 Advantages and disadvantages to franchisees of franchising

SOCIAL ENTERPRISES

These organisations trade with the aim of improving human and environment well-being rather than making profit for external owners. They are sometimes referred to as not-for-profit organizations. Social enterprises:

- Have a clear social/environmental mission
- Generate income through trade or donations
- Reinvest most of their profits
- Are majority controlled in the interest of the social mission
- Accountable and transparent

There are variety of forms of social enterprises:

- Co-operatives as consumer or retail co-operatives
- Worker co-operatives
- Mutual organisations
- Charities

Advantages

- Easy to raise capital
- Can get donations easily

Disadvantages

- Have to compete with commercial businesses
- Strict rules and regulation
- Constantly monitor market

LIFESTYLE BUSINESSES

A person running a lifestyle business aims to make enough money and provide the flexibility needed for a particular lifestyle. Example, a write, blogger, plumber ..etc

Advantages

- Flexible
- Since the work is part of the lifestyle of the owner, work is enjoyable
- Since usually the business is small and only one owner all profits are enjoyed by the owner

Disadvantages

- Growth is limited to the owner
- Not easy to get external funding
- No guarantee of a fixed incomes

ONLINE BUSINESSES

The most common form of business is online business now. Amazon.com, Alibaba, confused.com, eBay and Facebook are examples of large and well known online business. There are also many small-scale businesses that operate online as well.

Advantages

- Reaches a greater number of customers
- No need of a physical shop hence, operational costs can be minimized
- Easy to start an online business, as no formal procedures to follow or legal requirements

Disadvantages

- Some customers may still prefer to visit the shop and see the products and purchase
- May not reach customers who doesn't have internet access
- Technical breakdowns and fraud
- A high set up cost might be required for a larger business, hence involve the purchase of domain name registration, arranging hosting website and so on.

PUBLIC LIMITED COMPANIES

One way many private limited companies grow is by becoming a public limited company.

Public limited company is owned by shareholders and the name of the company ends in PLC.

Like a private limited company, it is run by a board of directors under the supervision of a chairperson who is accountable to the shareholders.

The shares of public limited companies can be bought and sold on the **stock market**.

Stock Market floatation

A stock market floatation occurs when a company “goes public”. The process is called an initial public offering (IPO), which means that a company’s shares are offered to the public for the first time.

Assess whether a company should go for a stock floatation

- it allows a business to obtain large amounts of finance externally instead of using retained profit or other forms of finance
- by remaining a private limited company finance will be limited
- by being a PLC, a company can find it cheaper and easier to borrow from banks and other financial institutions, because for the bank PLCs have the backing up of public shareholders
- easy access to more finance can help business grow further
- allows wider marketing and operation skills by new board of directors
- can increase business reputation

Evaluation

- requires a great deal of administration and costs to set up
- there could be greater potential for takeover once the floatation has taken place
- changing from private limited to public limited would mean family business would lose control over who owns shares
- shareholders may have conflicting interests from the original directors and may move away from the existing core values of the company

Advantages of PLC

- huge amounts of money can be raised
- production costs may be lower as firms gain economies of scale
- can dominate the market as PLCs are huge
- easy to raise finance from banks and other financial institutions

Disadvantages of PLC

- setting up cost is high
- anyone can buy the shares and possibly someone else to have the power of the company by buying a large amount of share

- company accounts must be published
- Divorce of ownership and control means that the shareholders may not be able to exert enough pressure on those that end up running the company, such as senior managers
- Large PLCs are inflexible due to their size

LIMITED LIABILITY

A limited liability business has a legal identity separate from its owners. These are called incorporated business. The owners of these businesses have limited liability. The owners of businesses with limited liability are shareholders

Advantages of limited liability

- Shareholders' financial liability is limited to the amount of money invested in the business. It's a fixed sum equal to the amount of money they paid for the shares.
- Even if the limited company collapses, the owner's private assets are fully protected.
- Shareholders also have protection from legal claims, this is because owners and the business have legal identities.

Disadvantage of limited liability

- Small limited companies are required to give personal guarantees of the company's debts to the lenders
- if the company failed to maintain proper records sometimes courts may decide that individuals are liable if a crime has been committed

UNLIMITED LIABILITY

These are businesses where there is no legal difference between the owners and the business. They are called unincorporated business. In case of loss their personal assets would be liable.

Advantages of unlimited liability

- Easier to raise finance, because lenders will be repaid if a business default
- Often seen as more trustworthy, as owners are encouraged to be more cautious since their personal assets are at risk
- Easy to start up unincorporated business

Disadvantage of unlimited liability

- Exposed financially to the failure of the business
- Personal assets might have to be sold off
- Owners are liable for any unlawful acts committed by the owners or the employees

CHOOSING APPROPRIATE FINANCE

A wide range of sources and methods of finance was discussed, but it is important to note that all of these sources cannot be accessed by all businesses.

The method of finance chosen by a business can be influenced by:

- Whether short-term or long-term finance is needed
- The financial position of the business
- The type of expenditure for which the money is needed

FINANCE APPROPRIATE FOR UNLIMITED LIABILITY BUSINESSES

Unlimited liability businesses such as sole traders and partnerships, have fewer sources and methods of finance to choose from. Most likely options are:

- Personal savings
- Retained profit
- Mortgage (secured loan)
- Unsecured bank loans
- Peer-to-peer lending (P2PL)
- Crowd funding
- Bank overdraft
- Grants

FINANCE APPROPRIATE FOR LIMITED LIABILITY BUSINESSES

Generally limited liability businesses, particularly PLCs have a much wider range of funding opportunities. Some methods of finance such as shares and debentures are only available to limited companies.

Appropriate sources include:

- Share capital
- Debentures
- Retained profit
- Venture capitalists
- Business angels
- Other sources (bank overdrafts, trade credit, leasing, unsecured loans). Larger limited companies are much less likely to use crowd funding and P2PL

(please read pages 201-202 for details)

2.3.2 Financial Planning

Sales, Revenue, Cost

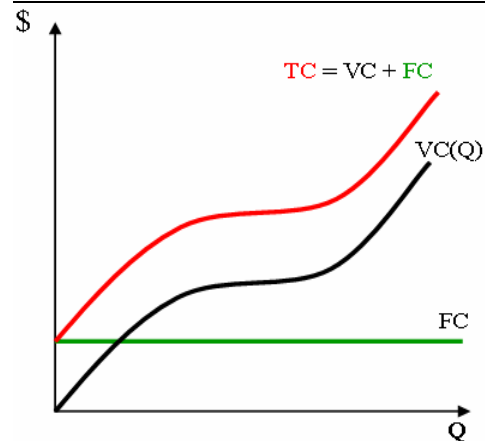
Sales volume is the number of units sold within a reporting period, it is used for budgeting, performance evaluation and profit planning.

Sales revenue: Sales revenue is the output sold by a business, it may be calculated for a specific time period, such as a day, week, month or year. It can also be calculated for an individual product.

Sales revenue = Price x Quantity of output sold

Business costs: The business cost includes all the costs (fixed, variable, direct, indirect) incurred in carrying out the operations of the business

Fixed cost variable cost and total cost



Fixed cost : A **fixed cost** is a **cost** that does not change with an increase or decrease in the amount of goods or services produced or sold.

Variable cost : Variable costs increase or decrease depending on a company's production volume; they rise as production increases and fall as production decreases. Examples of variable costs include the costs of raw materials and packaging.

Total cost: **Total costs** refer to the sum of fixed costs and variable costs.

Ways to improve sales volume

- Advertising
- Promotion
- Improved targeting
- Extend product range
- Extend distribution networks
- Develop relationship with customers
- Changing price
 - Raising price
 - lowering price
- Adding complementary services and products

Sales forecasting

Purpose of sales forecasts

- Will reduce uncertainty and enable it to plan more effectively.
- Assessing the probable outcome using assumptions about the future.

Examples include:

- Future sales of product
- The effect of promotion on sales
- Possible changes in the size of market in future.

How to predict future trends

one of the most popular method is the time series analysis. This involves predicting future levels from past data. The data used are known as time series data.

There are likely to be four components that a business wants to identify in time series data

- The trend
- Seasonal fluctuations
- Cyclical fluctuations
- Random fluctuation

Factors affecting sales forecasting

Consumer trends: in a market economy successful business anticipate and meet the needs of consumers by supplying goods and services that are in demand at a point in time. This can include:

- Seasonal variations
- Fashion
- Long-term trends

Economic variables: economic variables are measurements of different aspects of an economy that give an indication of how that economy is performing. Such as:

- Economic growth
- Interest rates
- Inflation
- Unemployment
- Exchange rates

Actions of consumers: sales forecasting is another area that can be affected by the actions of competitors. Where competitors use a strategy to capture market share from a rival, sales forecasts may need to be adjusted downwards.

The size of the impact on sales forecast depends on:

- Type of strategy used (product development)
- promotion

The benefits of sales forecasting

- Forecasts inform cash flow predictions and give the business a clear idea of what cash inflows will be, so that finances can be managed.
- Sales forecasts helps build relationships with suppliers.
- It enables to ensure correct staffing levels for the predicted sales.
- They enable the business to ensure that it has the capacity to meet the predicted orders.

The difficulties of sales forecasting

Predicting the future is not easy. The uncertainty applies in all areas of life. Some factors that makes sales forecasting difficult could be:

- Volatile consumer taste and preference
- Range of data
- Subjective expert opinion

EXAM HINT

Think about the type of business in any exam question. Context is important. When questions refer to particular businesses or industries, it is important that your answers are in the correct context. Apply your knowledge to the specific business and avoid 'general' answers that could apply to any business.

You will be asked questions with the command word 'assess', for example, 'Assess the importance of X to a business'. In this type of question, it is possible to introduce the idea of sales forecasting as a balancing item (evaluation). For example, if the question asked you to assess the importance of budgeting for the success of a business, it would clearly be appropriate to consider that other factors, such as sales forecasting, were even more important. When concluding questions such as this, the 'it depends' rule can be used. This involves consideration of the type of industry involved.

Break-even

The break-even output refers to the level of output a business needs to produce so that total costs are exactly the same as total revenue.

$$\text{Break-even} = \frac{\text{Fixed cost}}{\text{Contribution}}$$

Contribution

Contribution is the revenue that is received from selling a product less the direct costs (VC or unit cost) of producing that good.

Assuming the revenue is greater than the direct cost of making the good or providing the service, the good is making a contribution to the overheads (FC).

In some cases, if the fixed cost (overhead) have already been paid for, all revenue will be a contribution to profit.

$$\text{Contribution} = \text{total sales less total variable costs}$$

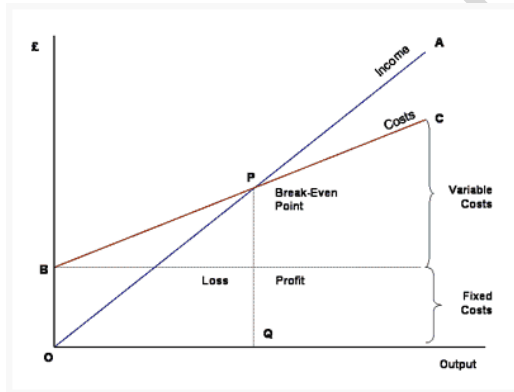
$$\text{Contribution per unit} = \text{selling price per unit less variable costs per unit}$$

Total contribution can also be calculated as:

$$\text{Contribution per unit} \times \text{number of units sold}$$

$$\text{Profit} = \text{Contribution less Fixed Costs}$$

Break- even point



The point at which neither profit nor loss is made is known as the "break-even point" and is represented on the chart below

The breakeven output is that level of output at which a firm's sales generate just enough revenue to cover all the costs of production

Break-even point (total fixed costs + total variable costs = total sales revenue)

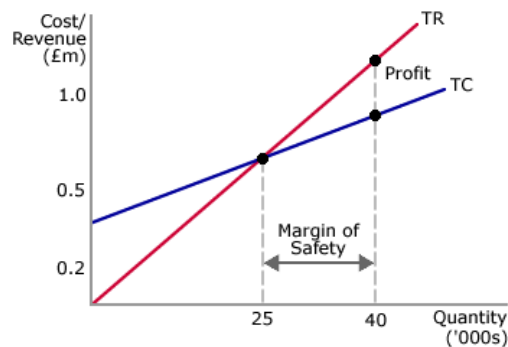
$$\text{Breakeven point (units)} = \frac{\text{Fixed costs}}{\text{contribution}}$$

$$\text{Breakeven point (sales)} = \frac{\text{FC} \times \text{price per unit}}{\text{Contribution}}$$

Margin of safety

Margin of safety is how much your sales can fall without losing profit.

That is the difference between the current output and the break-even point.



In this case the margin of safety is 40000-25000, that is 15000 units

Assumptions of break-even analysis

- Selling price per unit stays the same, regardless of the amount produced
- Variable costs vary in direct proportion to output, that is variable cost per unit is same
- All output is sold
- Fixed costs do not vary with output, they stay the same

Advantages of Break-even Analysis

- Focuses on how it will take before a start-up reaches profitably or the required output
- Helps entrepreneurs and finance providers better understand the viability and risk of a business idea
- Margin of safety calculation shows how much a sales forecast can prove over-optimists before losses are incurred
- Illustrate the importance of keeping fixed costs down to a minimum
- Calculations are quick and easy

Disadvantages of Break-even Analysis

- Unrealistic assumptions, products are not sold at the same price at different levels of output
- Sales are unlikely to be the same as output, there may be some build-up of stocks or wasted output too
- Fixed costs do not always stay the same
- Most businesses sell more than one product
- It helps as a planning aid rather than a decision-making tool

Cash flow

Cash flow forecasts

Cash flow forecast refers to the prediction of cash movement in and out of a business.

Why is cash flow forecast done? (purpose/advantages)

- It helps to predict when, it may encounter a shortage of cash, shown by a negative cash flow.
- Monitoring cash flow: The company will know they might need to borrow some money in the form of an overdraft to cover that period when there is insufficient cash.
- Used as a supporting document to raise finance showing business performance
- As it is a document concerning future it helps as a key part of the planning process.

Interpreting cash flow forecast

A cash flow forecast lists all the likely receipts (cash inflows) and payments (cash outflows) over a future period of time. All the entries in the forecast are estimated because they have not occurred yet. It shows the planned cash flow of the business month by month.

It also shows three key figures:

- Net cash flow: this is the difference between cash inflows and cash outflows for the month
$$\text{Net cash flow} = \text{total cash inflows} - \text{total cash outflows}$$
- Opening balance: this is the amount of cash that the business has at the beginning of each month.
- Closing balance: this is the amount of cash that the business expects to have at the end of each month
$$\text{Closing balance} = \text{net cash flow} + \text{opening balance}$$

Limitations of cash flow forecast

- Some information are based on estimates. If the figures are not accurate, then the net cash flows and closing balances will be unreliable.
- Business activity is subject to external forces that are beyond the control of owners and managers
- A lot of time will be taken to prepare cash flow forecasts
- A cash flow forecast only focuses on one important variable – cash. Other variables are also important such as profit, profit margins and productivity

EXAM HINT

When answering a question on the usefulness of cash flow forecasting to a business, remember to analyse both the advantages and the disadvantages. You will need to apply your answer to the case material provided and make a judgement at the end. The judgement might require you to say whether cash flow forecasting is beneficial overall to the business in your case.

Budgets

A budget is a financial plan that is agreed in advance. It must be a plan and not a forecast. A forecast is a prediction of what might happen in the future, whereas a budget is a planned outcome that the firm hopes to achieve.

A budget will show the money needed for spending and how this might be financed.

Budgets are based on the objectives of businesses.

Purpose of budgets

- Controlling and monitoring
- Planning
- Co-ordination
- Communication
- Efficiency
- Motivation

Types of budgets

Two key types of budgets are the sales budget and the production cost budget. Budgets are often prepared using historical figures.

- **Sale revenue budget:** The planned sales revenue for each month is calculated by multiplying the planned sales volume by the prices of each product.
- **Production budget:** A financial plan for items that are in the process of being manufactured. Production costs include materials, direct labor, indirect labor and overheads.

Budget	Description
Sales volume	A key budget – shows planned sales levels
Sales revenue	Uses sales volume budget and prices to show planned revenue
Production cost	Based on sales volume budget and shows all planned production costs
Overheads	Shows all planned indirect costs, such as insurance, rent and office wages
Total cost	Shows all planned business costs
Marketing	Shows planned spending on, for example, research, advertising, promotion and sales
R&D	Shows planned expenditure in research and development
Profit	Shows planned revenue, costs and profit
Cash	Shows planned cash inflows and outflows and cash balances
Master	Shows a summary of all budgets – including cost, revenue and profit

▲ Table 2 Types of budgets – some examples

Zero-based budget:

Zero-based Budgeting refers to a system of budgeting where no money is allocated for costs or spending unless they can be justified by the fund holder (they are given a zero value)

The financial information used in most budgets is based on historical data. For example, the cost of materials in this year's production budget may be based on last year's figures.

However, in some areas of business it is not so easy to measure costs. Example like marketing.

Where costs cannot be justified then no money is allocated in the budget for those costs, this is known as zero-based budgeting. A manager must show that a particular item of spending generates an adequate amount of benefit.

The main advantages of ZBB are:

- The allocation of resources should be improved.
- A questioning attitude is developed which will help to reduce unnecessary costs and eliminate inefficient practices.
- It encourages managers to look for alternatives.
- Staff motivation might improve because evaluation skills are practiced, and a greater knowledge of the firm's operations might develop

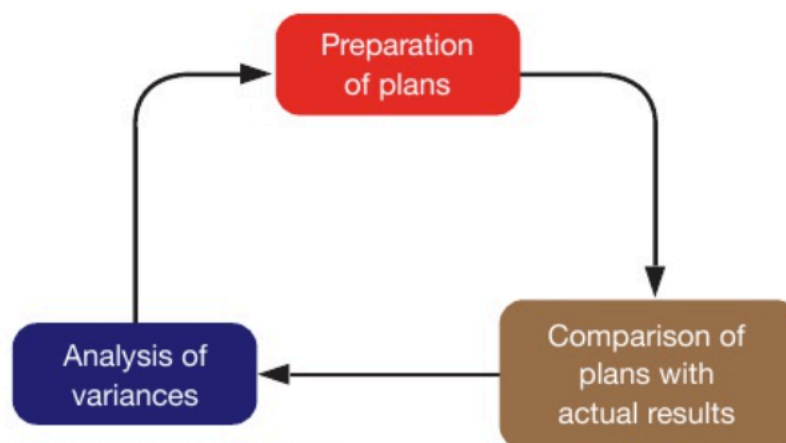
The main disadvantages are:

- Managers may not be prepared to justify spending on certain costs.
- Time consuming
- Skillful decision making is required. Such skills may not be available in all organisations
- It threatens the existing way in which the business is run.

Using budgets

Budgetary control or budgeting involves a business using budgets to look into the future, stating what it wants to happen, and then deciding how to achieve these aims. This involves the following process:

- Preparations of plans: Targets are usually set which allows a business to determine whether its objectives have been met. The results it achieves can then be compared with the targets it sets.
- Comparison of plans with actual results: Control will be effective if information is available quickly, at the end the actual results can be compared with targets sets.
- Analysis of variances: It involves finding variances between actual and financial outcomes.



▲ Figure 1 Stages in budgetary control

Variances

A variance in budgeting is the difference between the figure that the business has budgeted for and the actual figure.

- Variances can be favourable (F) or adverse (A)

Favourable variances occur when the actual figures are 'better' than the budgets figures

- If the actual income earned is greater than budgeted it will bring a favourable variance. For eg. If the sales revenue was budgeted \$10000 but actual was \$15000 then \$5000 is the favourable variance
- If the actual cost is lower than the budgeted it will have a favourable variance. For eg, if costs were planned to be \$12000 and turned out to be \$10000, there will be a favourable variance of \$2000

Adverse variances are when the actual figures are worse than the budgeted figures.

Using variances for decision making

The final stage in budgetary control is the analysis of variances. It is important to identify the reasons why variances have occurred.

If variances are adverse, it will be necessary to take action to ensure that adverse variances are avoided in future.

If variances are favourable the business can learn from understanding the reasons why this has occurred.

Difficulties of budgeting

Business may encounter when setting budget and using the for financial management:

- Setting budget
 - Problems may arise because figures in budgets are not actual figures
 - The most important data of budget is the sales data, if sales data are inaccurate, many of the firm's budgets will be inexact
 - Can lead to conflict in departments, as departments compete against each other for funds
 - The time spend setting the budget could be spent on other tasks
 - Sometimes businesses set over-ambitious budgets.
- Motivation: if workers are not consulted about the budget, it could be difficult to use that budget to motivate them
- Manipulation: budgets can be manipulated by managers for eg, by an influential manager
- Rigidity: budgets can sometimes restrict business activities
- Short-termism: some managers might be too focused on the current budget. They might take actions that damage the future performance of the business just to meet current budget targets.

2.3.3 Managing Finance

Profit

Profit is the difference between total revenue and total cost

Gross profit: gross profit is the difference between revenue or turnover and cost of sale

- Gross profit = revenue – cost of sales

Operating profit: it is the difference between gross profit and business overheads.

- Operating profit = gross profit – operating expenses

Profit for the year: it is the profit made by the business for the year

- Profit for the year = operating profit – finance cost

Ways to increase profit

Most businesses want to increase their profits if it possible. Following approaches can be done by the businesses:

- Adjust the marketing strategy
- Find new markets
- Diversity
- Mergers and takeovers
- Disposal of non-profit activities

Measuring profitability

The information contained in the statement of a comprehensive income can show how well a business is performing

Three profit margins can be calculated

- Gross profit margin

$$\text{Gross profit margin} = \frac{\text{Gross profit}}{\text{Revenue}} \times 100\%$$

- Operating profit margin

$$\text{Operating profit margin} = \frac{\text{Operating profit}}{\text{Revenue}} \times 100\%$$

- Profit for the year

$$\text{Profit for the year (net profit) margin} = \frac{\text{Net profit before tax}}{\text{Revenue}} \times 100\%$$

Ways to improve profitability

Increasing profit margins will also improve performances. If profit margins can be raised, the business will make profit at the existing level of sales.

The profit margins can be improved in two ways:

- Raising prices
- Lowering costs by
 - Buying cheaper resources

- Using existing resources more efficiently

Liquidity

Cash vs Profit

- Profit is the difference between the income of a business and its total cost..
- Cash is the money received to the businesses in the form of cash.
- Earning a profit is not always important. A number of businesses are not established with the aim of making profits.

Importance of Cash

A potentially profitable business can fail because of poor management of cash flow.

Cash is required:

- For immediate spending
- To acquire resources and raw materials
- Attraction for investors
- To use a measure of performance

Importance of Profit

- Profit is one key element used to assess company's performance
- Healthy profits will attract new investment in the company
- Profit encourages efficiency
- Distribute profit to employees as a bonus
- Use part of profit to pay off taxes

Cash flow relates to the timing of payments and receipts. Cash flow is important in the short term as a business must pay people and organizations to whom it owes money

A profitable business may run out of cash (insolvency) whilst a business recording a loss may have a cash surplus.

Business selling goods on credit terms may record profits as sold but the cash payment from customers will be received at some time in the future

A business may receive cash at the beginning of the trading year from sales made in the previous year. This would increase the cash balance, but not affect profit.

Purchase of fixed assets will reduce cash balances, but have no effect on the profit a company makes. This is because the purchase of assets is not treated as a business cost in the profit and loss account.

What is liquidity?

- Liquidity refers to the ease with which assets can be converted into cash
- Non-current assets cannot be easily turned into cash
- Current-assets can be easily turned into cash

Measuring liquidity

Current ratio: The **current ratio** is a liquidity ratio and focuses on the current assets and current liabilities of a business. It can be calculated using the formula:

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

Acid test ratio: The **acid test ratio** is a more severe test of liquidity. This is because inventories (stocks) are not treated as liquid resources. There is no guarantee that inventories can be sold and they may become obsolete or deteriorate. They are therefore excluded from current assets when calculating the ratio. The acid test ratio can be calculated using the formula:

$$\text{Acid test ratio} = \frac{\text{Current assets} - \text{Inventories}}{\text{Current liabilities}}$$

Ways to improve liquidity

The following measures might be used to either generate cash or save it

- **Sale of assets or leaseback:** a business may sell unwanted physical assets such as vehicles, property or machinery. Assets like property and machinery can be sold to financial specialists and leased back.
- **Delay Supplier credit terms:** a business can save cash if it delays paying suppliers for goods and services that already been bought. It may be able to extend its credit payment period from 30 to 60 days
- **Factoring of debts:** debt factoring involves a specialist company or a bank (the factor) providing finance against these unpaid invoices. This helps to boost the cash available to the business. Usually they will pay 80% of the debts the remaining is their commission.
- **Inventory Just In Time (JIT):** a business can improve its liquidity by reducing its inventories. Inventories are not very liquid so minimising their value will help to preserve cash.

What is working capital?

It is the amount of money needed to pay the day-to-day trading of a business. A business needs working capital to pay expenses such as wages, electricity and gas charges and to buy components to make products.

Working capital = current assets – current liability

The amount of working capital a business has is an important issue. It can reflect how well a business is performing.

How to manage working capital?

Different businesses have different working capital needs

- Size of business: the larger the business, the larger the amount of working capital there is likely to be.
- Inventory levels: businesses in different industries have different needs for inventory. The more inventory a business needs, the higher will be its working capital.
- Debtors and creditors: the time between buying inventory financed by trade credit and selling finished products can influence levels of working capital

Maintaining adequate levels of working capital:

Businesses need to keep adequate levels of working capital. If they keep too little (i.e. current assets are too low and current liabilities are too high) they will start to encounter trading problems.

- If a business does not carry enough inventory of raw materials, it could find that production stops when items run out. If it does not carry enough finished goods, it might be unable to fulfil orders on time.
- If there is not enough cash in the business, it might not be able to pay its bills on time.
- If it has borrowed too much through trade credit, so it owes too much to creditors, it might be unable to pay invoices when they are due.

Why do business fail?

Why some businesses fail and why some succeed is a matter of debate, although there are some common mistakes that can sink a business in no time. It can be classified as Internal causes and External causes

Internal causes of business failure

- Poor management of cash flow: many businesses fail because they run out of cash. There is number of reasons why a business may run out of cash:
 - Investing too much in fixed assets
 - Allowing too much credit
 - Overborrowing
 - Seasonal factors
 - Unforeseen expenditures
 - External factors
 - Poor financial management
- Overestimation of sales: forecasting future sales is a very difficult process. There is also a large amount of data relating to consumer behavior and other sales factors, which is sometimes difficult to analyse effectively.
- Overtrading: young and rapidly growing businesses are particularly prone to overtrading. Overtrading occurs when a business is attempting to fund a large

volume of production with inadequate cash. One important symptom of overtrading is the need to keep borrowing money to meet day-to-day expenditures.

- Poor inventory control: poor inventory control may mean a business is holding too much stock, too little stock or the wrong sort of stock. If a business carries large quantities of inventory, money is tied up in unproductive assets. Inventories do not generate any return for a business until they are sold. If a business has too little stock, it risks the business losing customers as they go to the rivals and never return.
- Poor marketing: businesses that launch new products that fail to meet customer needs are likely to have difficulties. The use of inappropriate pricing strategies could mean that prices are too high or too low. A business may fail to position itself correctly in the market.
- Poor quality: poor quality products can result in lost customers and long-term damage to the reputation of a business. Eg, in 2016 Samsung Note7 had to be completely withdrawn from the market. With widespread and increasing use of social media around the world, news about poor-quality products can travel very quickly. As a result, quality assurance is now more important than ever.

External causes of business failure

It could be argued that failed businesses owners are quick to blame external factors for the problems their business faced. Some of the most likely external factors to cause business failure are outlined below:

- Poor Market condition: markets are dynamic, which means they change all the time. Changes in market conditions can sometimes result in sharp fluctuations in prices, this might negatively impact some businesses.
- High competition: competitors might bring out superior products. They may read market conditions more effectively and charge lower prices because their costs may be lower.
- Economic changes: the general stat of the economy, both domestic and global, can have an impact on the success of businesses. The government's economic policies might also contribute to business failure. Economic downturns can also affect some businesses especially those that produce non-essential goods.
- Exchange rate fluctuations: businesses that import and export will be affected by changes in the exchange rate. Higher exchange rates mean that overseas customers have to pay more for goods and services.
- Interest rate changes: a sharp increase in interest rates could cause difficulties for some businesses. Those with large debts would be at risk, as would those that depend on consumers using credit to fund their purchasing.

- Government regulations: sometimes changes in government legislation can lead to business failure. This is likely to happen if they impose legislation that limits companies' ability to do business, reduce subsidies or cut government expenditures.
- Supplier problems: it is possible for a business to collapse if they are let down by suppliers. If a key supplier fails to make deliveries, a business may not be able to meet customer orders. As a result, customers might go to rivals and never return. Supplier problems are likely to do more damage to businesses that use outsourcing or JIT manufacturing. This is because such businesses rely very heavily on supplier performance.
- Natural phenomena: some businesses can fail due to natural occurrences such as the weather especially farmers. One of the main problems for most farmers is long periods of lower than normal rainfall. Another problem is diseases to the plants.

What measures can be taken to avoid failure?

- clearly define and communicate the corporate vision
- start with realistic goals. Do not over expand the business too early in its life
- avoid taking too much debt
- Avoid Overspending
- Have a reserve fund
- Good location
- Make necessary changes with time

SHORT NOTES UNIT 2 (CHAPTER 2.3.4)

WHAT IS PRODUCTION?

Productions takes place when resources such as raw materials or components are change into 'products'.

Job Production:

A method of production that involves employing all factors to compete to complete one unit of output at a time.

Advantages

- Quality is high because workers are skilled.
- Workers are well motivated because work is more varied
- Products can be custom made
- Production is easy to organize

Disadvantages

- High labor cost due to skilled workers
- Production may be slow long lead-time
- A wide range of specialist tools may be needed
- Generally, an expensive method of production

Batch Production

It is used when demand for a product or service is regular rather than a 'one-off'.

An example might be furniture factory, where a batch of armchair is made to a particular design.

Advantages

- Workers are likely to specialize in one process
- Unit cost is lower because output is higher
- Production is flexible since different orders can be met
- More use of machinery is needed

Disadvantages

- More complex machinery may be needed
- Careful planning and co-ordination is needed
- Less motivation because workers specialize
- If batches are small, cost will still be high

Flow production

Production is organized so that different operations can be carried out, one after the other, in a continuous sequence.

Advantages

- Very low unit cost due to economies of scale
- Output can be produced very quickly

- Modern plan and machines can allow some flexibility
- Production speed can vary according to demand

Disadvantages

- Products may be too standardized
- Huge set-up costs before production can begin
- Worker motivation can be very slow- repetitive task
- Breaks in production can be very expensive

Cell Production

Cellular manufacturing or sell production adopts a different approach and involves dividing the workplace into 'cells'.

Advantages

- Floor space is released because cells use less space than a flow production line
- Product flexibility is improved
- Lead times are cut
- Movement of resources and handling time is reduced
- There is less work in progress
- Team working is encouraged
- There may be safer working environment and more efficient maintenance.

Disadvantages

- May not allow firms to use their machinery as intensively as in flow production and output will be lower than mass production as a result.
- Greater investment is required in new management and control processes, such as stock ordering
- there may be rivalry between different cells and conflict may arise if one cell is left to wait for output from another

PRODUCTIVITY

Output can be increased if productivity is raised. Productivity is the amount of output that can be produced with a given input or resources.

A business may measure **labour productivity**, this is output per worker per period of time.

Factors influencing productivity

- Specialization and division of labor: one feature of modern business is specialization. This is the production of a limited range of goods by an individual, business, region or nation.
- For example: Coca-Cola specializes in soft drinks, Tokyo makes cars and emirates provides air travels.
- Education and training: The government can improve quality of labor by investing in education. Firms can also improve the productivity of their workers by providing their own training.

- Motivation of workers: If people are more motivated at work they will be more productive. Firms might use financial incentives, such as piece rates. Workers who are not motivated by money may respond to other incentives.
- Working practices: Working practices are the methods or systems that employees adopt when working.
For example- Productivity might be increased by changing the factory layout – moving workstations or reorganizing the flow of production.
- Labor flexibility: Labor can be more flexible if workers are more trained to do different jobs and can switch from one to another at short notice.
For example- Productivity might be increased by changing the factory layout, moving workstation or reorganizing the flow of production.
- Labor flexibility: labors are more flexible if workers are trained to different jobs and can switch to one another at short notice.
- Capital productivity: productivity usually increases when new technology is introduced. This is because new technology is more efficient.

Productivity and competitiveness

- If business can raise productivity, then we will be able to produce more output with the same level of resources. This means that cost can be lowered, and they can charge lower prices.
- If business in a particular country can be more productive then they may become more competitive in overseas market.

Ways to improve productivity

1. Improving labor productivity:

- Increase specialization: If workers become more specialized their performance is likely to improve.
- Improve motivation: financial and Non-financial methods improve the motivation of employees.
- Improve training: Investment in right sort of training can help to improve productivity and also increase staff motivation.
- Increase labour flexibility: Making worker more flexible is by introducing job rotation.

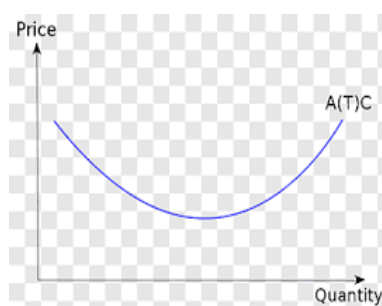
2. Improving capital productivity:

Some businesses use more capital than labour in their production processes, therefore increasing capital productivity will be more important to them.

- Improve services and maintenance: Machinery and other expensive equipment will be more productive, if it is serviced regularly and maintained regularly.
- Update and replace old technology: Productivity can be improved if businesses regularly update obsolete plant and machinery.
- Ensure that operatives are well trained: Capital productivity will be higher if operatives are thoroughly trained in its uses.

EFFICIENCY

Efficiency is about making the best possible use of all business resources. A business will want to use its materials, labour and capital as effectively as possible.



Factors influencing efficiency and how it might be improved:

The efficiency of a business can be influenced by a very wide range of factors:

1. **Introducing standardization:** standardization involves using uniform resources and activities or producing a uniform product. It can be applied tools, components, equipment's procedures and documents.
2. **Outsourcing:** it may be possible to improve efficiency by outsourcing specific business activities. This means that work currently done by a business is given to specialist outside the business.
3. **Relocating:** Moving the entire business to a new site is a drastic measure, but can result in much lower costs, by relocating business might enjoy lower rents, lower wages and better transport links.
4. **Downsizing:** involves reducing capacity, i.e laying off workers and closing profitable divisions.
5. **Delaying:** also involves reducing staff, cuts are directed at particular levels of a business such as management posts. Delaying involves removing some of these layers to give a flatter structure.

6. **Investing in new technology:** new technology can often improve efficiency. New machines may be quicker, more accurate, be capable of more tasks, and carry out work in more extreme conditions than older equipment
7. **Lean production:** it is an approach developed by Toyota, the Japanese car company. Its aim is to use fewer resources in production. Lean producers use less of everything, hence trying to cut cost everywhere possible. Lean production can therefore result in:
 - Rise in productivity
 - Reduce number of faulty products
 - Reduce cost and cuts lead-time
 - Improves reliability and speeds up product design
8. **Kaizen:** there is a strong link between kaizen and lean production. Kaizen is a Japanese word meaning “continuous improvement”. There is a belief in Japan everything can be improved. This means that workers are always coming up with ideas to improve quality, reduce waste or increase efficiency. The individual improvements may be very small, but over a long period of time they can have a huge impact.
9. **Just-in-time production (JIT):** this involves minimizing or eliminating the amount of stock held by a business. It reduces all of the costs associated with stock holding.

Distinction between Labour and capital-intensive production

Labour- intensive production techniques involve using larger proportion of labour than capital.

Capital-intensive involves employing more machinery relative to labour.

The best mix of labour and capital depends on a number of factors:

- a. The nature of the product
- b. The relative prices of the two factors
- c. The size of the firm

Capital-intensive strategies
Benefits
• Generally more cost effective if large quantities are produced
• Machinery is often more precise and reliable
• Machinery can operate 24/7
• Machinery is easier to manage than people
Drawbacks
• Huge set-up costs
• Huge delays and costs if machinery breaks down
• Can be inflexible – much machinery is highly specialised
• Often poses a threat to the workforce and could reduce motivation
Labour-intensive strategies
Benefits
• Generally more flexible than capital – can be retrained for example
• Cheaper for small-scale production
• Cheaper for large-scale production in countries like China and India
• People are creative and can therefore solve problems and make improvements
Drawbacks
• People are more difficult to manage than machines. They have feelings and react
• People can be unreliable. They may be sick or leave suddenly
• People cannot work without breaks and holidays
• People sometimes need to be motivated to improve performance

▲ Table 5 The benefits and drawbacks of capital- and labour-intensive strategies

Competitive advantage from short product Lead-in times

Businesses can gain competitive advantage if they reduce the amount of time it takes to develop and launch new product. And enjoy the first-mover advantage in the market.

Advantages

- Can make a lasting impression on customer, which can result in improved brand recognition.
- May charge premium price by exploiting early adopters in the market.
- Have more time to develop their production process.
- Maybe able to control resources in the industry
- May enjoy a strategic advantage of its expensive for customers to switch products at a later date

Disadvantages

- The first movers can incur the highest cost of production development that 'copycat' rivals are likely to avoid
- Followers into the market can also learn from the mistake made by the first-movers and make modification before they launch
- It is also possible that first-movers may launch the product before it is properly ready for fear of missing out the market opportunities.

CAPACITY UTILISATION

Capacity Utilisation is the proportion of maximum possible output that is currently being used.

- A football stadium is at full capacity when all seats are filled. It has 100% capacity utilisation.
- A factory that can produce 20,000 units a week but is only producing 15,000 units has a 75% capacity utilisation.

The level of output achieved when a firm is making full use of its buildings, its machinery and labour in MAXIMUM OUTPUT. The firm is said to be working at 'Full Capacity'

How is capacity utilization measured?

$$\frac{\text{Current Output}}{\text{Maximum possible output}} \times 100$$

WORKED EXAMPLE

A printing operation is capable of printing 10,000 leaflets in a particular time period but only prints 9000. Capacity utilisation would be:

$$\text{Capacity utilisation} = \frac{9000}{10,000} \times 100 = 90 \text{ per cent}$$

Here the printing operation has 10 per cent unused capacity.

The amount a firm can make will depend on:

- the amount of buildings it has
- the technology it has (machinery)
- the quantity and quality of labour

Impact of under-utilisation

A business might under-utilising capacity if it has experienced a drop-in demand, due for example to increased competition in the market.

Advantages

- Spare capacity means there is more time for maintenance and repair of machinery, training and for improving systems
- May be less pressure and stress for employees
- Allows a company to cope with a sudden increase in demand

Disadvantages

- Firms have a higher proportion of fixed costs per unit
- These higher costs lead to either lower profits or increased prices which could reduce sales
- Spare capacity can portray a negative image
- With less work to do employees may become bored and demoralised and fear losing their job

Impact of over-utilisation

If a business is running at full capacity it might be over utilizing its resources. This means that resources will be stretched uncomfortably.

Advantages

- Average costs will be lower because fixed costs will be spread across more units of output
- Improve competitiveness and profit
- Staff motivation might be good as they feel more secured in job
- A busy operation can improve company's image

Dealing with capacity (under-utilisation)

Reduce capacity: a business might decide to cut capacity eg, rationalization. This involves reducing excess capacity by getting rid of resources that the business can do without. A number of measures can be done:

- Reduce staff by making people redundant
- Sell off unused fixed assets
- Review leasing capacity
- Move to smaller premises where costs are lower

Increase sales: if a business sells more of its output it will have to produce more, therefore capacity utilization will rise

Increase usage: trying to find ways to increase demand during off-peak hour

Outsourcing: where capital equipment has low utilization rates, it might be more efficient for the business to outsource the work to another company.

Redeployment: if a business has too many resources in one part of the business, it may be possible to deploy them in another part. Eg, moving staff to another branch temporarily

Dealing with capacity (over-utilisation)

Increase inventories: if a business knows in advance that there is likely to be a future surge in demand it can be prepared by building up stocks of finished goods.

Raising prices: one way to deal is by raising prices, as higher prices may reduce demand so that the pressure on production resources is reduced.

Outsourcing: this can also help with over utilization, when working at full capacity a business can outsource work to other businesses in order to keep up with the demand. This is a good approach when there is a temporary surge.

Redeployment: some businesses may be able to redeploy resources to deal with over utilization by switching resources among company branches.

Acquiring the temporary use of resources: can hire extra resources to help deal with over utilization.

Expansion: in the long term, if a business is confident that rising demand will continue, it can expand the scale of its operations.

WHAT IS INVENTORY?

Inventories also known as stock are used to make products, which are then sold to customers. Some businesses also hold inventories of their finished goods before they are delivered to customers.

There are mainly three types of inventory

- Raw materials and components
- Work-in-progress
- Finished goods

INVENTORY CONTROL

one of the most important tasks in inventory control is to maintain the right level of inventories. This involves keeping inventory low as possible so that the costs of holding

them are minimized. At the same time its important to have enough inventory to meet the customer needs.

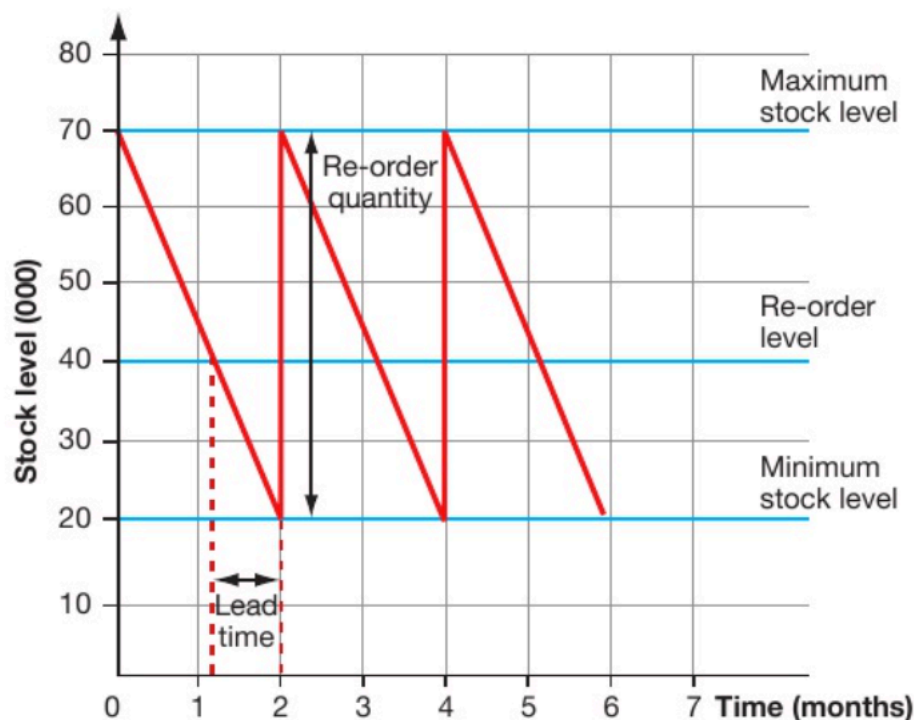
Factors that influence the level of inventory

- Demand: stock is required to meet the demand. A buffer stock can be kept to cover unforeseen rises in demand or breaks in supply
- Stockpile goods: toy manufactures may stock up for certain occasions like Christmas new year, eid period. They keep ready for the upcoming demand
- The costs of inventory holdings: if inventory is expensive to hold then only a small amount will be kept.
- The amount of working capital available: a business that is short of working capital may not be able to purchase more inventory, even if it is needed.
- The type of inventory: businesses can only hold small stocks of perishable goods.
- Lead time: this is the amount of time it takes for a stock purchase to be ordered, received, inspected and made ready for use. The longer the lead time, the higher the minimum level of inventory needed.
- External factors: fear of future shortages may prompt firms to hold higher levels of raw materials in inventory as a precaution.

STOCK CONTROL DIAGRAM

The diagram focuses on the **re-order quantity** and the **re-order level**

- Re-order quantity: the amount of stock ordered when an order is placed
- Re-order level: the level of stock currently held when an order is placed



▲ Figure 1 Stock control diagram

The stock control diagram shown in Figure 1 assumes that:

- 50,000 units are used every 2 months (25,000 each month)
- the maximum stock level, above which stocks never rise, is 70,000 units
- the minimum stock level, below which stocks should never fall, is 20,000 units, so there is a buffer against delays in delivery
- stock is re-ordered when it reaches a level of 40,000 units (the re-order level)
- the re-order quantity is 50,000 units – the same quantity is used up every 2 months
- the lead time is just under 1 month. This is the time between the order being placed and the date it arrives in stock.

It is likely that re-order quantities will need to be reviewed from time to time. Suppliers might offer discounts for ordering large quantities.

The quantity of stock used in each time period are unlikely to be constant, as production levels fluctuate according to demand.



▲ Figure 2 Stocks of computer chips at MelCo Electronics

1. Calculate the (a) minimum stock level, (b) re-order level, (c) re-order quantity, (d) lead time for the computer chips.

ANSWERS:

(a) 100 000 units (b) 200 000 units (c) 300 000 units (d) 3 weeks (approx.).

BUFFER STOCK

This is an emergency stock held in case there is stock shortage. A business might hold buffer stocks of finished goods in case there is a sudden increase in demand, because if they are unable to meet the increase in demand they will lose sales opportunities.

Some hold raw materials also in buffer stock so as to ensure smooth running of the production. If there is a breakage in the supply otherwise production will come to a halt.

IMPLICATIONS OF POOR INVENTORY CONTROL

Holding too much inventory

- Storage: inventory occupy space, hence would run a cost of maintaining them
- Opportunity cost: capital tied up in inventory earns no reward, the money could be used elsewhere such a new machinery or research
- Spoilage costs: the quality of some inventories may deteriorate over time especially perishable goods, hence its an additional cost to the business.
- Administrative and financial costs: these include the cost of placing and processing orders, handling costs and the costs of failing to anticipate price increases
- Unsold inventory: if there is an unexpected reduction in demand, the firm may be left with inventory that it cannot sell or outdated.

- Shrinkage: very large stocks might result in an increase in theft by employees. They may feel the business would not miss a small amount of stock relative to the total inventory

Holding too little inventory

Holding too little can also lead to problems

- The business may not be able to cope with unexpected increases in demand. This might result in lost customers if they are let down too often
- If inventory deliveries are delayed, the firm may run out of inventory and have to stop production
- The firm is less able to cope with unexpected shortage of materials
- A firm which holds very low inventory may have to place more orders. This will raise total ordering costs. It might also miss out on discounts from bulk buying.

JUST-IN-TIME (JIT) MANAGEMENT OF INVENTORY

Just-in-time (JIT) manufacturing is an important part of lean production and the **kaizen approach**. JIT manufacturing requires high levels of organizational skills and reliable suppliers.

JIT involves getting the raw materials just in time and the finished products delivered to the customers right its finished. Basically, no stocks will be held as inventory.

Advantages	Disadvantages
• It improves cash flow since money is not tied up in stock	• A lot of faith is placed in the reliability and flexibility of suppliers
• The system reduces waste, obsolete and damaged stock	• Increased ordering and administration costs
• More factory space is made available for productive use	• Advantages of bulk buying may be lost
• The costs of stockholding are reduced significantly	• At risk of a break in supply and machinery breakdowns
• Links with and the control of suppliers are improved	• Difficult to cope with sharp increases in demand
• The supplier base is reduced significantly	• Possible loss of reputation if customers are let down by late deliveries
• More scope for integration within the factory's computer system	
• The motivation of workers is improved. They are given more responsibility and encouraged to work in teams	

▲ Table 1 Advantages and disadvantages of JIT

KANBAN SYSTEM

Many firms using JIT stock control make use of **kanban** systems. Kanban is a Japanese term that means signs or cards. The kanban system is a method used to control the transfer of materials between different stages of production. The kanban might be a solid plastic brick or coloured ping-pong ball used to, for instance:

- inform employees in the previous stage of production that a particular part must be taken from stock and sent to a specific destination (conveyance kanbans)
- tell employees involved in a particular operation that they can begin production and add their output to stock (production kanbans)
- instruct external suppliers to send parts to a destination (vendor kanbans).

Kanbans are used to trigger the movement or production of resources. Used properly, they will be the only means of authorising movement. Kanbans are an important part of JIT manufacturing as they prevent the build-up of stock or parts in a factory.

WASTE MINIMISATION

A failure to control inventory adequately can result in wasted inventory. This is most likely to happen if inventory is perishable.

Inventory can also be wasted if it has a limited lifetime and becomes obsolete after a certain amount of time (expiry dates), seasonal goods like mother's day cards, or goods related to specific events.

Method to minimize waste are as follows:

- If goods are perishable, they must be placed in chilled storage. Fridges or freezers can prolong the life of perishable goods
- Businesses have to be especially conscientious when forecasting demand patterns for perishable goods. If they overestimate demand they could be left with a lot of unsold stock. Businesses can use complex quantitative techniques to predict the demand.
- A suitable stock rotation method should be adopted. Methods like FIFO (first in first out) can be used. That means that the inventory that was delivered first must be issued first, hence older inventory is used up first.

- Computerized systems can be used to manage stock, that can be programmed to automatically order inventory when the re-order level is reached. In supermarkets, computerized checkout system records every item of inventory purchased by customers and automatically subtracted from inventory levels
- Some businesses might be able to adjust product prices to help minimize waste. If inventory remain high as the “sell-by date” (expiry date) approaches, prices might be reduced to encourage purchases.
- To minimize waste, a business might find creative methods in the disposal of goods that have passed their sell-by date. For example, food products might be given to charities.

COMPETITIVE ADVANTAGE FROM LEAN PRODUCTION

The use of JIT stock control is often an important element if a business is adopting lean production. Lean production aims to use fewer resources in production.

A range of production techniques are used to minimize waste such as:

- Kaizen
- Cell production
- Flexible manufacturing
- Team working
- Empowerment
- Multiskilling

Lean producers use less time, less inventory, fewer materials, less labour, less space and fewer suppliers.

Lean producers are likely to have competitive advantage, as minimizing waste reduces production cost hence can sell at low price.

Competitiveness will be improved because lean production

- Raises productivity
- Reduces costs and cuts lead time
- Lowers the number of faulty products
- Improves reliability and speeds up design time.

QUALITY MANAGEMENT

What is quality?

Quality could be described as those features of a product or service that allow it to satisfy customer's wants.

The importance of quality has grown in recent years, consumers are also more aware. And have more disposable income and higher expectation than before. Legislation and competition have also forced firms to improve the quality of their products.

Businesses faced with competition are also concerned with quality of their design and production processes as well.

Why quality is important

- Poor designs may lead to problems with the materials and the functions of the finished good or service.
- It costs time and money to redesign poor products. Clients are unlikely to use businesses with poor designs again.
- Faulty products are also costly for business, machinery that breaks down or constantly needs to be repaired will also be expensive.
- Late delivery and ineffective productivity that results in poor quality can harm a business reputation

Quality control

Traditionally, in manufacturing production departments have been responsible for ensuring quality.

Their objective might be to ensure that products:

- Satisfied consumers' needs
- Worked under conditions they were likely to face
- Operated in the way they should
- Could be produced cost effectively
- Could be repaired easily
- Met safety standards set down by legislation and independent bodies

Quality control often meant quality controllers or quality inspectors checking other people's work and the product itself ***after production had taken place.***

By today's standard this is not quality control, but a method of finding a poor-quality product before it is sold to the consumer.

Quality Assurance

Today businesses ask the question "are we able to do the job properly?"

That is inspection is carried out during the production process. This means that problems and poor-quality products can be prevented before final production.

Such a preventive approach is used by the Japanese known as ***total quality management.***

Quality assurance is a commitment by a business to maintain quality throughout the organization. The aim is to stop problems before they occur rather than finding them after they occur.

Quality assurance also takes into account customer's views when planning the production process via market research.

You need to avoid confusion between quality assurance and quality control. Remember that quality assurance aims to prevent defects with a focus on the **processes** used to make the product. It is a **proactive** quality task. Quality control aims to identify (and correct) defects in the finished **product**. Quality control, therefore, is a **reactive** task.

Quality Circles

Quality control circles or quality circles are small groups of workers (5-20) in the same area of production who meet regularly to study and solve production problems.

In addition such groups are intended to motivate and involve workers on the factory floor.

Quality control circles are only likely to work if they have the support of both managements and employees.

TOTAL QUALITY MANAGEMENT (TQM)

Total quality management is a method designed to prevent errors, such as the creation of poor-quality products from happening.

The business is organized so that the manufacturing process is investigated at every stage.

Features of TQM

- Quality chains: in any business a series of suppliers and customers exist. The chain remains complete if the supplier satisfies the customer. Failure to meet the requirement in any part of the quality chain creates problems, such as delays in the next stage of production.
- Company policy, accountability and empowerment: there will only be improvements in quality if there is a company-wide quality policy. TQM must start from the top with the most senior executive and spread throughout the business to every employee.
- Control: consumers' needs will only be satisfied if the business has control of the factors that affect a product's quality. The process is only under control if materials, equipment and tasks are used in the same way every time.
- Monitoring the process: TQM relies on monitoring the business process to find possible improvements
- Teamwork: teamwork is the most effective way of solving problems. The main advantages are:

- A greater range of skills, knowledge and experience can be used to solve the problem
- Employee motivation is often improved
- Problems across departments are better dealt with
- A greater variety of problems can be tackled
- Team ideas are more likely to be used than individual ones
- Consumer views: firms using TQM must be committed to their customers. They must respond to changes in peoples' needs and expectations.
- Zero defects: many business quality systems have a zero-defect policy. This aims to ensure that every product that is manufactured is free from defects
- Quality circles: TQM stresses the importance of teamwork. Quality circles have been introduced by many businesses.

Advantages of using TQM

TQM helps companies to:

- Focus clearly on the needs of customers and relationships between suppliers and customers.
- Achieve quality in all aspects of business
- Critically analyse all processes to remove waste and inefficiencies
- Find improvements and develop measures of performance
- Develop a team approach to problem solving
- Develop effective procedures for communication and acknowledgement of work
- Continually review the processes to develop a strategy of constant improvement

Disadvantages

- There will be training and development costs of the new system
- TQM will only work if there is commitment from the entire business
- There will be a great deal of bureaucracy and documents, and regular audits will be needed. This may be a problem for small firms
- Stress is placed on the process and not the product

KAIZEN

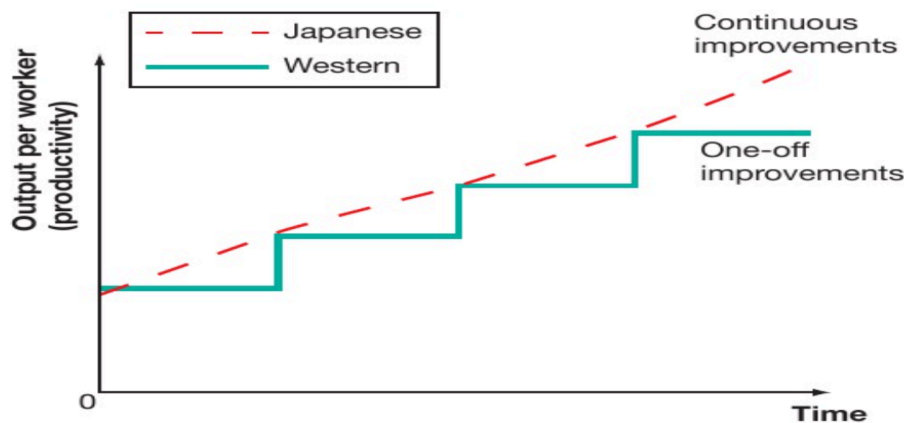
kaizen another Japanese concept, meaning continuous improvement.

Every aspect of life, including social life, working life and home life, is constantly improved.

Kaizen is said to be an “umbrella concept”



▲ Figure 2 The kaizen umbrella



▲ Figure 3 The Western and Japanese approaches to improvement

Features of Kaizen

- Continuous improvement: in Western businesses productivity remains the same for long periods of time, then suddenly rises. The increase is followed by another period of stability (the steps in the above diagram). The dotted line (diagram above) shows the Japanese approach. Improvements are continuous

- Eliminating waste: the elimination of waste in business practices is an important part of kaizen. Waste is any activity that raises cost. This includes:
 - time wasted while staff wait around before starting tasks, such as waiting for materials to arrive
 - time wasted when workers to a central point in the factory to get tools
 - the irregular use of a machine, such as a machine that is used once a month
 - excessive demands upon machines or workers, such as staff working overtime seven days per week, which causes them to be tired and work poorly

- Implementing continuous improvement: it is a series of activities that lead to improvement
 - Plan: must identify where improvement is needed
 - Do: once the plan is finalized it must be carried out by the workers
 - Check: inspectors can check whether there has been an improvement or not
 - Action: if the plan is successful, it must be introduced in all parts of the business

COMPETITIVE ADVANTAGE FROM QUALITY MANAGEMENT

Supplying high-quality goods and services can have a huge positive impact on businesses. As it will help increase sales.

Business costs maybe cut if faults in product are identified before the products reach the market.

Some businesses use quality as a means of developing a USP. A business that can deliver quality will develop a competitive advantage.

DISADVANTAGES OF IMPROVING QUALITY

Despite the benefits from improving quality, it is important to recognise the costs.

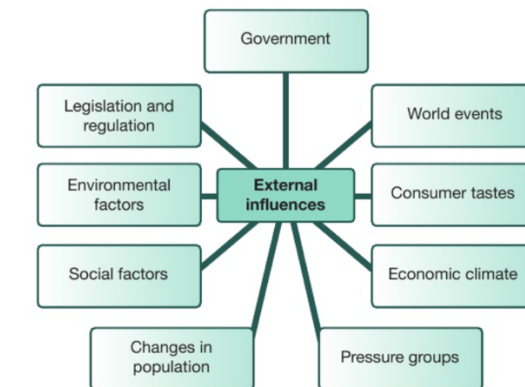
- **Designing and setting up a quality control system.** This might include the time used to 'think through' a system and the training of staff to use it.
- **Lost production.** When a business introduces a major new system there can be some serious disruption while the new system is introduced. This could lead to a loss of output and damage to customer relations if orders are not met.
- **Improving the actual quality.** This may be the cost of better materials, superior methods, new machinery or training staff in new working practices. If the whole quality system fails, there may be costs in setting it up again. Time may be needed to rethink or adjust the system. Retraining might also be necessary.
- **Training.** Quality initiatives will only be successful if the people involved in their application are properly trained. This can be very costly. For example, if TQM is introduced the entire workforce will have to be trained. This may involve sending all staff on specialist training courses or outsourcing training to an expert in TQM.

It has been suggested that 10–20 per cent of the revenue of a business is accounted for by quality-related costs. The vast majority of these costs are related to assessment and failure, which add very little to the quality of the product. Eliminating such failure would help to reduce these costs, saving businesses significant sums.

2.3.5 External Influences

Economic influences

Business activity is influenced by a number of external influences. These are factors beyond the control of businesses.



▲ Figure 1 External influences on businesses

Inflation

Inflation is the persistent rise in the general price level of a country.

A government will want to keep the prices stable in the economy. This means to keep the inflation under control. High inflation is a serious threat to the business.

How is inflation measured?

A common approach to measure inflation is to calculate changes in CPI (consumer price index). This involves gathering information about the price of the goods and services in the economy.

Each year the government record the price change of 600 goods and services.

How does inflation affect the business?

Fluctuating inflation is likely damaging business for a number of reason

- Increased cost: High and fluctuating inflation is likely to be damaging to business for a number of reasons.
 - Supplier's prices rising all the time
 - Raising prices costs money
 - Management is likely to have to spend more time dealing with worket's pay claims
- Uncertainty: Inflation uncertainty affects financial markets by raising long-term interest rates. ... If inflation is uncertain, the return on nominal long- term debt will be riskier. As a result, investors will require higher expected returns, which imply higher long-term interest rates.
- Borrowing and lending: When there is inflation, the value of the money borrowers pay back is less.

- Consumer reaction: Consumers reacts to inflation as well as business. Prolonged inflation tends to lead more saving. Inflation makes consumer less confident. They become less willing to borrow money. If inflation is very high, consumers will adopt different spending patterns and businesses.
- International competitiveness: High inflation can have an impact on business that import and export goods and services.
For example- If a country has higher inflation rates than its trading partners, businesses in that country will become uncompetitive.

How might businesses respond to inflation?

Some businesses would respond to an increase in inflation in an effort to protect their profit.

For example: They may take any of the following action:

- Search for cheaper supplier if cost of material starts to rise.
- Increase prices to compensate for the higher cost resulting from inflation.
- Negotiate hard with employees and their representatives when inflation-proof wage demands are made.
- Build up inventories ahead of future inflation so that products are sold at future higher prices.
- Look to outsource or relocate production overseas.

Exchange rate

Exchange rate refers to the value of one currency against another.

Different countries in the world have their own currencies.

For example- The USA uses dollars, Japan uses the yen many European countries uses the different currencies, transactions between people and businesses are affected.

The impact of an appreciation in the exchange rate on imports and exports

- When the exchange rate increases it has said to be appreciated
- The exchange rate is the price of one currency in terms of another, like all prices the exchange rate can change. This is because prices are determined by market forces and demand and supply can change at any time.
- For example - If the demand for UK export rises there will be an increase in the demand for pounds. The increase in demand for pounds will raise the exchange rate, this is called appreciation.

The impact of a depreciation in the exchange rate on imports and exports

- When the exchange rate falls it has depreciated. The impact on the demand for imports and exports is the opposite.

The effects of changes in the exchange rate on the demand for exports and imports are summarised in Table 1.

Exchange rate	Price of exports	Demand for exports	Price of imports	Demand for imports
Falls	Falls	Rises	Rises	Falls
Rises	Rises	Falls	Falls	Rises

▲ Table 1 Summary of the effects of changing exchange rates

How are businesses affected by exchange rates?

Fluctuating exchange rate causes uncertainty. Businesses do not follow what is going to happen to exchange rate in future. This means it is difficult to predict demand for export and the cost of imports. This makes planning and budgeting more difficult.

How might businesses respond to a change in exchange rates?

- **Appreciation:** An export business will find that the price of its product will be higher for overseas customers when the exchange rates appreciates. Therefore, trading conditions have worsened. They might respond by lowering their prices to compensate for the increase in the exchange rate.
- **Depreciation:** An export business will find its prices lower for overseas customers when the exchange rate depreciates. Therefore, trading conditions have improved. They might respond by raising prices to increase their profit margins.

Interest rates

Interest rate refers to the cost of borrowing money, and the reward for saving money in the bank.

In case of borrowing the business usually pay interest on loan, equally if they put their savings into a bank or building society, they expect to receive interest.

Effect of interest rate on costs

Changes in interest rate are likely to affect the overheads of a business. Interest charges are part of overhead costs. If interest rates rise the businesses are likely to pay higher interest payments on their borrowings.

Effect of interest rate on investment

Changes in the rate of interest affect the amount that businesses invest, for example in a new buildings plant and machinery, there are four main reasons for this:

- The cost of loans
- Attractiveness of savings
- Paying of existing loans
- A fall in demand

Effect of interest rate on demand

The level of interest rates affects aggregate demand. A rise in interest rate will tend to push down aggregate demand. There are many different ways in which changes in interest rates lead to changes in the sales of businesses:

- **Domestic consumption:** Consumer will be hit by a rise in interest rates, the cost of loans will rise. This will discourage consumers from buying goods bought on credit such as cars, furniture and electrical equipment's. These goods are known as consumer durables.
- **Domestic investment:** Businesses are likely to cut plans for new investment of interest rate rise. Investment goods like, new buildings or machines, are made by business. So, these businesses will see a fall in their demand.

- Stock: Businesses keep stock of raw material and finished goods like new buildings. Stock costs money to keep, because a fall in stock level could be used to finance a fall in borrowing and interest payments.
- Exports and imports: A rise in interest rates tends to lead to a rise in value of one currency against others.

How might businesses respond to changes in the interest rate:

Higher interest rates

Higher interest rates are generally bad for businesses. The cost of borrowing rises and demand for goods bought with borrowed money is likely to fall. Business may respond in following ways:

- Reduce the amount they borrow by cutting back on loans and overdrafts.
- If Economic situation tends to weaken, some businesses might react by modifying growth targets.
- Postpone or cancel marginal investment projects
- Businesses with a wide range of financial assets might begin to put more money into deposit accounts since returns will be greater

Lower interest rates

Business will generally prefer lower interest rate since the cost of borrowing will be lower and demand for goods bought with borrowed money, such as cars, will rise. Businesses may respond by:

- Increasing investment since the return will be higher if the cost of borrowing is lower.
- Since demand for goods will rise, the firm affected by this increase will have to prepare to increase production. Further increase the demand of workers and may recruit
- Some businesses may decide that they can increase their prices if demand is growing fast. This will help to boost revenue and profits.

Taxation

Government can affect business decision making using fiscal policy. This involves changing taxation and government expenditure to influence the economy.

Tax is a compulsory payment charged on people by the government.

The effects on business of changes in taxation

How might changes in taxation affect businesses?

- Consumer spending: changes in certain types of taxation policy are likely to increase the income consumer have left after tax.
- Prices: An increase in VAT or excise duty will raise the cost of business. Business often pass this on to customers by raising the price of goods.
- Business costs, revenue and profits: Increases in some taxes might raise the cost of a business.
- Business spending and investment: increase in cost and reduced profits mean that business have less retained profit.
- Shares: changes in capital gains tax and stamp duty might affect shareholding.

- Importing and exporting: Increase in custom duties can affect businesses. However domestic businesses buying imported supplies would have to pay higher prices.
- Business operations and employees: increase in national insurance contribution of employers might discourage employees from recruiting extra workers.
- Other effects: certain businesses might be affected by changes in taxes. For example, an increase in landfill tax might encourage business to recycle.
- Tax avoidance and evasion: increase in taxation often leads businesses to try to avoid taking the tax.

How might business respond to changes in taxation?

- Businesses will prefer lower taxes to higher. If taxation in general is increased there is likely to be fall in demand and businesses, may respond defensively. For example- if there is an increase in the rate of corporation tax businesses may decide to relocate their operations in a country where operation taxes are lower. The difference in corporate tax rates around the world is significant.
- If taxes on spending are increased businesses might react by scaling back production.
- Businesses are likely to respond more positively to the lower taxes. Since demand is likely to rise businesses may increase production.

Government Expenditure

The government is responsible for spending in the public sector. It provides a range of services such as, education, defence, welfare benefits, transport and healthcare.

The effects of changing in government expenditure on business

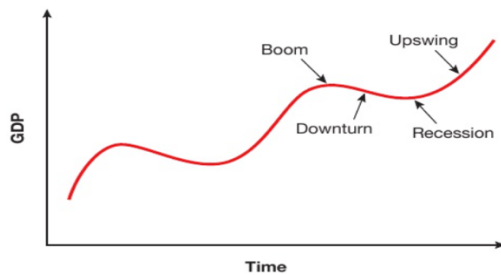
- If government increases spending to more than it raises in taxes, total spending in country will rise.
- Too much spending can lead to the problems such as higher interest rate and inflation.
- Cuts in government expenditure are generally bad for businesses because it usually means a fall in demand.

How might businesses respond to changes in government expenditure?

- If government increases expenditure the demand will tend to rise, consequently production of goods and services will expand. In contrast lower level of government expenditure will have opposite impact.
- Some businesses are likely to benefit from changes in government spending pattern, for example construction companies are likely to gain the most and have positive response.
- However, spending by public sector reduces development in private sector, private sector finds it harder to attract resources.

The business cycle

Over a period of time the GDP of the country is expected to grow, however the rate of the growth involves fluctuations, which is referred to as the business cycle.



▲ Figure 5 The economic, trade or business cycle

- The fluctuations are often referred as economic, trade or business cycle.
Boom: The peak of the cycle is called boom. GDP is growing faster because economy is performing well.

Downturn: Boom is followed by a downturn. The economy is still growing, but at a slower rate.

Recession or depression: unemployment rises, business confidence is very low.

Recovery or upswing: businesses and consumers regain their confidence and economic activity is on the increase.

The impact of business cycle on business:

The uneven pattern of growth shown by the business cycle can have an impact on businesses. However, the size of the impact will depend on the financial position of the business and what it produces.

- Output: During boom the businesses increase output to meet rising demand. During recessions or depression, the businesses respond by cutting capacity and reducing output.
- Profits: During a boom business profits are likely to rise; however, it becomes harder to retain the profits when national income tends to fall.
- Business confidence and investment: During economic recovery business confidence is high. Business owners are optimistic about the future and are prepared to take more risk.
- Employment: During boom unemployment falls because businesses are taking on more workers to cope with rising demand.
- Business start-ups and closures: People are prepared to set up new business. Business confidence will be high so new entrepreneurs will be more enthusiastic. However, during recession business closure will be on rise.

How might businesses respond to the different phases in the business cycle?

- During a boom most businesses owner will be full of confidence and probably looking for opportunities to expand their operations and increase their profitability.
- Once the boom is over, economic growth slowdown there will be less incentive to invest and expand.

- In recession or depression, the unemployment rises sharply and demand in economy falls, firms will respond by scaling back operations.
- Finally, once economy start to recover to recover from recession businesses and consumers feel more confident again.

EXAM HINT

When answering questions about the impact of events on a business, it may be useful to distinguish between whether they are internal or external. Credit may be given to answers which distinguish clearly between influences that a business can control and those that it cannot. For example, if a business is performing well it might be because it is being well managed. However, it might also be because a key rival has left the market. Evaluation marks may be awarded for answers that recognise this distinction.

LEGISLATION

The need for legislation in business

Without legislation it is possible that some businesses could neglect the needs of certain stakeholders. For eg, worker might be paid low wages

One of the role of government is to provide a legal framework in which businesses can operate and ensure that vulnerable groups are protected.

It is however, important for the government to find the 'right balance'. Too much legislation will discourage enterprise and foreign investments.

Consumer Protection Legislation

Consumer protection legislations are the laws designed to ensure that consumers are treated fairly by companies form which they buy.

Consumers want to buy:

- Good quality products at fair prices
- Receive good customer service
- Clear and accurate information about products
- Do not want buy dangerous goods or overpriced goods



▲ Figure 1 Consumer issues affected by legislation

How does consumer legislation affect businesses?

The increase in number of consumer laws and the concern about protecting consumers has a number of possible implications for firms

- Increase in costs
- Quality control
- Dealing with customer complaints
- Change in business practice

Benefits of consumer legislations to businesses

- Consumer confidence could be higher
- Image and reputation increases
- Competitive advantage could be gained.
- Helps to gain higher market share and enjoy long run success.

Drawbacks of consumer legislations to businesses

- Increases costs of production
- May require recruitment of non-productive personnel
- More legal formalities/reports
- Competitiveness may reduce because of higher prices

Employee Protection Legislation

In many countries' employers have a responsibility towards their employees. But legislation is necessary to ensure that minimum standards are applied.

Businesses have a number of legal obligations when employing people:

- Employment contract
- Discrimination
- Unfair dismissal
- Equal pay

How does employment legislation affect businesses?

Businesses often complain about the burden of employment legislation. Some of the **negative effects** of employment legislations are below:

- Compliance costs: these are expenses incurred by a business in meeting the requirements of employment
 - New employee must be checked if the person is entitled to work in that particular country.
 - Employers are responsible for the well-being of employees at work
 - Business must also deal with that tax authorities (staff income tax payments)
- Higher labour costs: some employment legislations has resulted in certain businesses having to meet higher labour cost due to national minimum wage.
- Changing working practices: in many countries as a business employs more people it will have to introduce systems to deal with compliance and human resource managements, further adding up the cost.

- Loss of flexibility: some businesses argue that sections of the legislation make it more difficult to run a business because the laws are too inflexible
- Penalties: if businesses fail to comply with the laws outlined, there may be penalties.

Positive effects

There are also positive affect:

- Legislation creates a “level playing field” when employing people. It means that immoral or improper business activities will be minimised and businesses can get a competitive advantage
- Likely to improve worker motivation and employee welfare, which will help raise productivity, lower staff absence and cut staff turnover
- It might also help to create a more positive and friendly culture within the organization.
- Can improve the business image and make it easier to recruit and retain high-quality staff.

Environmental protection Legislation

Without regulation, business activities can have a negative effect on the environment.

Environmental issues are those relating to pollution, global warming sustainable development and other elements of the ‘Green’ agenda. Business today is making more effort to measure and publish their performance through environmental audits. Various efforts are made such as:

- Pollution: there are different forms of pollution such as, water, air, noise.
- Destruction of wildlife habitats: some business development destroys wildlife habitats and spoils the natural environment.
- Traffic congestion: extra traffic caused by commercial vehicles or workers travelling to and from work can cause congestion costs about 5% of its economic output.
- Resource depletion: non-renewable resources such as oil, coal, gas and minerals cannot be replaced. Therefore, as business development accelerates these resources are depleted.

One approach used by many governments to minimize the damage done by businesses to the environment is to pass new laws.

Much of the pressure for environmental legislation has emerged due to the growing concerns about global warming. If businesses fail to comply with the environmental laws they may be fined or forced to close.

How does environmental legislation affect businesses?

Environmental issues offer both threats and opportunities to businesses. Those that may lose the most are companies which high polluters.

- Marketing: environmental issues can be a highly effective marketing tool for some businesses. By integrating environmental friendly methods like using sustainable

resources, can bring a unique selling point to businesses and use it as a marketing technique.

- Finance: using energy-saving measures, can lead to a business having lower costs than before because of previous inefficiencies. But on some businesses, going environment friendly can increase costs and affect their profits. If all businesses in the industry also face these higher costs, prices are likely to rise to reflect the higher costs. Profits would then be largely unaffected.
- Operations management: pollution controls and other environmental measures could have an impact on how a product is made. This can increase cost of production.
- Human resources: environmental concerns and policies have human resource implications. Staff will need to be recruited and trained to deal with ever increasing government regulations concerning the environment.

Competition Policy Legislation

There is a need to monitor the activities of monopolies and markets that are dominated by a smaller number of large businesses. Without government regulation some businesses would exploit consumers by using anti-competitive or restrictive practices.

Such practices might include the following:

- Increasing prices
- Restricting consumer choice
- Raising barriers to entry
- Market sharing

How does competition policy affect business?

Positive impact:

- Businesses might get frustrated if their restrictive practices are judged to be illegal and they are forced to comply with law, this is because such practices are often highly profitable
- Competition will encourage innovation and improve efficiency as businesses try to survive the market
- Hence, new products are developed
- Bring down cost of production as they become more efficient due to competition

Negative impact:

- Competition policy restricts their activities
- Could cause delays and cost the businesses involved a lot of money.
- Sometimes after an investigation a merger or takeover might be permitted with restrictions

Healthy and Safety Legislation

Purpose:

- To protect workers from dangerous machinery.
- Workers should be provided with proper safety equipment and clothing.

- A reasonable workforce temperature is maintained for workers.
- Proper hygienic conditions and washing facilities are provided.
- Workers get adequate breaks between shifts.

How does health and safety legislation affect businesses?

Businesses need to prepare a written statement of their general policy on health and safety. Also have to give training, information, instruction and supervision to ensure the health and safety of workers.

Penalties:

- Failure to comply with the law can be serious
- Businesses can also be fined if they failed to comply with legislation.

Benefits:

Even though complying the law increases costs it also bring benefits as well

- Can improve the image of the business
- Can attract and retain high-quality staff
- Workers will feel protected and more secure and hence increase motivation
- Absence through injuries at work will be reduced, as might staff turnover.

Intellectual property rights

Why protect business ideas ?

- Keep control of intellectual property
- Maintain 'unique selling point'
- Maximise return on investment
- Reduce threat of competition

Patents

Patent is a legal protection for the invention and provide the inventor of a technical break through with the ability to stop anyone copying the idea for up to 20 years.

Intellectual property is something unique that is physically created. Intellectual property can be owned if:

- It is created
- The intellectual property rights are purchased from the creator or a previous owner
- You have a brand that could be a trademark

If it is protected it will be easier to take legal action in the event of theft. Protection can take several forms

- Automatic protection: some creations like writing and literary works, art, photography, films, television, music, web content and sound recordings, protection is automatic. This means the creator is automatically entitled to copyright.
- Applying for protection: patents and trademarks have to be applied for protection. It is necessary to check first to see whether a trademark already exists. Patents are used to protect inventions. Patents will only be granted if an invention is new.

Copy right

- Copyright applies to the original written work such as music, books, news paper articles, songs, lyrics, sounds and so on. The life of the copyright is lifetime of the author +70 years.
- Unlike patents, copyright occurs automatically, so there is no need to spend time on applying it.
- The copying company can be sued immediately, if it is strictly practiced in the country.

Trademark

- Trademark is a legal protection for the symbol, slogan, word or any sign that distinguish the goods and services of one trader from the another.
- Trademark must be registered at IPO.
- It should be distinctive and original
- It is less costly than patents.
- Trademark is significant for small businesses for its success.
- Protection lasts for 10 years.

Benefits of Patents:

- Right to take legal action
- Protection for up to 20 years
- Able to license right to use patent
- Ability to charge higher price due its monopoly power
- Can gain a competitive advantage

Problems

- It can be expensive
- Breaking patents is not a criminal offence, it is a civil offence, hence more legal formalities.

How do intellectual property rights affect business?

if businesses and people can protect their original work from theft, creativity is likely to be encouraged.

Also, with the protection, through research and development businesses are likely to gain a competitive edge and make more profit.

Patents reward businesses for their investment because they can exclude competition from others upto 20 years.

The competitive environment

One of the most important external influences faced by a business is the threat posed by competitors.

The effects on businesses of competition

Operating in a competitive market is likely to have a number of implications for a business. Businesses will be challenged and forced to monitor the activities of rivals in order to minimize the threat they pose.

The impact might be influenced by:

- **Numbers**: the number of rivals in a market can have an important influence on the level of competition.
Generally the level of competition will tend to become more intense as the number of rivals in a market grows. This can have several effects on businesses.
 - **Price**: with large number of competitors, businesses lose the price controlling powers, because consumers can easily switch between products.
 - **Profit**: profit margins are likely to be squeezed because prices will be forced down
 - **Communication with customers**: those businesses that meet customer needs effectively are more likely to survive in the market.
 - **Innovation**: in highly competitive markets innovation will be encouraged.
- **Size**: the size of rivals can have an important influence on the level of competition. They have more competitive advantage in the form of recruiting best staff and in resources.
The ways in which smaller businesses can operate in competitive markets is discussed below:
 - **Price**: in markets dominated by large businesses a small firm cannot control prices, but if they differentiate the product, they may be able to charge high price
 - **Profit**: large firms will tend to enjoy both higher level of profits and higher profit margins. Smaller firms will not be able to enjoy economies of scale and hence cannot keep their costs low.
 - **Communication with customers**: in some respects, smaller firms may be able to communicate more effectively with customers. This might be because smaller organizations are likely to be more personal and much closer to their customers.
 - **Innovation**: it could be argued that large businesses pose a threat to their smaller rivals in the development of new products and technology. However, small firms can still be innovative. Because of their size they can be flexible and adaptable which often means they can respond to changes in customer needs quickly.

- **Behaviour:** businesses are likely to be directly affected by the behavior of rivals. In a competitive environment business will try to develop strategies to 'outcompete' their rivals. They might use a wide range of tactics:
 - **Price:** most consumers are sensitive to price changes and will buy the cheapest products on the market.
 - **Marketing:** businesses usually monitor the marketing activities of rivals such as methods of promotion and advertising they use. If a rival introduces a new promotion strategy, this will affect the sales of others in the market.
 - **Product differentiation:** if possible many businesses will try to differentiate their products from those of rivals. If they can do this effectively, they may hold a more prominent position in the market and charge a higher price.
 - **Product development:** if competitors develop improved versions of their products, or launch new products, businesses can be negatively affected.
 - **Collusion:** in a minority of industries a number of firms might work together and behave like a monopoly. This behavior can have a very damaging effect on the remaining firms in the industry. It is very difficult to compete with a monopolist because of the power they have over the market.
 - **Barriers to entry:** in some markets it is easy to enter exit and industry. This is because barriers to entry is low. However, in some industries setting up as a new competitor is very difficult, such as broadcasting and air transport, a government licence is needed before trading can begin.

Ways for a small firm to compete in a competitive market

- **Develop a market niche:** niche marketing involves selling to a small customer group, with specific needs. Small firms can often survive in a competitive market by supplying to a niche.
- **Flexibility:** small firms can adapt to change more quickly hence have a competitive advantage over large firms
- **Personal service:** smaller firms can give a personal touch in dealing with customers. Some people prefer to deal with the owner of a firm directly and prepared to pay a higher price of the privilege. Owners are more accessible in small firms than larger ones.
- **Lower wages:** many workers in small firms do not belong to a trade union, as a result their negotiating power is weaker, and the owners can restrict wages up to the minimum wage. Also employees in smaller businesses have less expectation for their earning so may not be demanding higher wages.
- **Better communication:** since small firms have fewer employees, communication tends to be informal and more rapid than in larger

organisations. Hence, decision making will be faster, and workers may be better motivated.

- Innovation: though small firms often lack resources for research and development, they may be surprisingly innovative. Mostly because they are more ready to take a risk, and they are forced to innovate if they want to survive in a competitive market.